

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO
Lewis T. Babcock, Judge

Civil Case No. 07-cv-01355-LTB-MJW

UNITED STATES OF AMERICA FOR THE USE AND BENEFIT OF SUN
CONSTRUCTION COMPANY, INC., a Colorado corporation,

Plaintiff,

and

FIDELITY AND DEPOSIT COMPANY OF MARYLAND, a Maryland corporation,

Intervenor Plaintiff,

v.

TORIX GENERAL CONTRACTORS, LLC, a Colorado limited liability company f/k/a
Alliance General Contractors, LLC, and ST. ANDREWS/ALLIANCE JOINT VENTURE,
a joint venture,

Defendants and Counterclaimants,

and

TRAVELERS CASUALTY AND SURETY COMPANY OF AMERICA, a Connecticut
corporation,

Defendants.

JUDGMENT

PURSUANT to and in accordance with the Order entered by the Honorable
United States District Judge Lewis T. Babcock, on March 6, 2009, upon the Stipulated
Motion for Acceptance of Arbitration Agreement and for Order Administratively
Dismissing Third-Party Claims,

IT IS ORDERED that the third-party claims are dismissed. Pursuant to the agreement between Third-Party Plaintiff St. Andrews/Alliance Joint Venture, a joint venture, and Third-Party Defendants Earl F. Douglass Roofing, Co., and MLL Construction, Incorporated, these issues shall be submitted to binding arbitration.

PURSUANT to and in accordance with the Order entered by the Honorable United States District Judge Lewis T. Babcock on October 20, 2009,

IT IS FURTHER ORDERED that Defendants' Motion for Summary Judgment on Plaintiff's Fourth Claim for Relief is granted. Plaintiff's Fourth Claim for Relief is dismissed.

This matter was tried from November 1, 2010 through November 22, 2010 before a jury of eight duly sworn to try the issues herein, the Honorable Lewis T. Babcock, Judge, presiding.

At the close of the evidence on November 18, 2010, by stipulation of the parties, Plaintiff Sun's implied contract claim was withdrawn, each party to bear its own costs and attorneys' fees; Defendant Joint Venture's implied breach of Plaintiff Sun's subcontract claim (third claim for relief in Doc. 125) and two indemnification claims (fourth and fifth claims for relief in Doc. 125) were withdrawn, each party to bear its own costs and attorneys' fees. Intervenor Plaintiff F&D withdrew any affirmative claim for relief based on cardinal change and any affirmative defense based on cardinal change.

The trial proceeded to conclusion and the jury returned its Special Verdicts as follows:

SPECIAL VERDICT

JURY VERDICT FORM NO. 1

SUN CONSTRUCTION COMPANY, INC.’S (“Sun”) AND/OR FIDELITY AND DEPOSIT COMPANY OF AMERICA’S (“F&D”) CLAIMS AGAINST TORIX GENERAL CONTRACTORS, LLC and ST. ANDREWS/ALLIANCE JOINT VENTURE (“JV”) AND TRAVELERS CASUALTY AND SURETY COMPANY OF AMERICA (“Travelers”) :

We, the Jury, present our answers to the following questions submitted by the Court, and unanimously find as follows:

1. Do you find that Sun and/or F&D have proven their claims against the JV and Travelers?

YES X
NO

If your answer to Question No. 1 is YES, then answer Question No. 2. If your answer is NO, then sign this form and skip to Jury Verdict Form No. 2.

2. If your answer to Question No. 1 is YES, then enter the total amount of Sun and/or F&D’s damages, in an amount of not less than \$1.00.

\$4,143,416.00

3. Enter the portion of the total amount set forth in Paragraph 2 above to which F&D is entitled pursuant to its assignment/subrogation claim.

\$1,300,000.00

Dated this 22 day of November, 2010.

Signed by all Jurors.

JURY VERDICT FORM NO. 2

TORIX GENERAL CONTRACTORS, LLC’S and ST. ANDREWS/ALLIANCE JOINT VENTURE’S (“JV”) CLAIMS AGAINST SUN CONSTRUCTION COMPANY, INC. (“Sun”) AND/OR FIDELITY AND DEPOSIT COMPANY OF AMERICA (“F&D”):

We, the Jury, present our answers to the following questions submitted by the Court, and unanimously find as follows:

1. Do you find that the JV has proven its claims against Sun?

YES _____

NO X

If your answer to Question No. 1 is YES, then answer Question No. 2. If your answer is NO, then sign this form.

Dated this 22 day of November, 2010.

Signed by all Jurors.

IT IS FURTHER ORDERED that judgment is entered for Plaintiff United States of America For the Use and Benefit of Sun Construction Company, Inc., and Intervenor Plaintiff Fidelity and Deposit Company of Maryland and against the Defendants and Counterclaimants Torix General Contractors, LLC, and St. Andrews/Alliance Joint Venture and Defendant Travelers Casualty and Surety Company of America in the amount of \$4,143,416.00 in damages. F&D is entitled to \$1,300,000.00, the portion of \$4,143,416.00 pursuant to its assignment/subrogation claim.

IT IS FURTHER ORDERED that the issue of attorneys' fees and costs to the prevailing parties is held in abeyance.

IT IS FURTHER ORDERED that Plaintiff United States of America For the Use and Benefit of Sun Construction Company, Inc., and Intervenor Plaintiff Fidelity and Deposit Company of Maryland are awarded pre-judgment interest, if determined to be entitled thereto, calculated at the rate of 8% per annum from October 11, 2008 to the date of entry of judgment, if allowable.

IT IS FURTHER ORDERED that post-judgment interest shall accrue at the legal rate of .27% per annum from the date of entry of judgment.

Dated at Denver, Colorado, this 24th day of November 2010.

APPROVED:

s/Lewis T. Babcock
Lewis T. Babcock, Judge
United States District Court

FOR THE COURT:
GREGORY C. LANGHAM, CLERK

By s/Edward P. Butler
Edward P. Butler, Deputy Clerk